

CHAPTER ONE

INTRODUCTION TO STRATEGIC MANAGEMENT

1. Basic Concepts of Strategic Management

The word strategy has entered the field of management more recently. At first, the word was used in terms of Military Science to mean *what a manager does to offset actual or potential actions of competitors*. The word is still being used in the same sense, though by few only. Originally, the word strategy has been derived from Greek word ‘Strategos’, which means generalship. The word strategy, therefore, means the art of the general. When the term strategy is used in military sense, it refers to action that can be taken in the light of action taken by opposite party.

Strategic management is one of the most significant concepts to emerge in the subject of management studies in the recent past. It has emerged as a critical input to organizational success and has come in handy as a tool to deal with the uncertainties that organizations face. It has helped to reduce ambiguity and provide a solid foundation as a theory to conduct business- a convenient way to structure the many variables that operate in the organizational context, and to understand their interrelationship.

1.1 Definition of strategic management

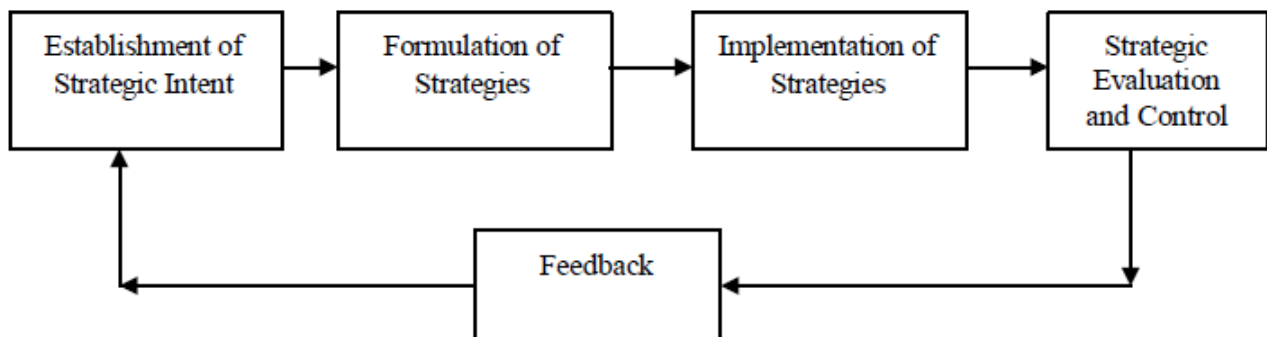
- Strategic management can be defined as the art and science of formulating, implementing, and evaluating cross functional decisions that enable an organization to achieve its objectives.
- It can be further defined as the process of systematically analyzing various opportunities and threats vis-à-vis/in relation to organizational strengths and weaknesses, formulating, and arriving at strategic choices through critical evaluation of alternatives and implementing them to meet the set objectives of the organization.
- Strategic management has been defined by Loyd L. Byars as a process which is concerned with making decisions about an organization’s future direction and implementing these decisions

1.2 Stages of Strategic Management

Strategic management can be viewed as a process encompassing four important phases namely, establishing a hierarchy of strategic intent, formulation and choice of strategies, implementation and evaluation and control.

These phases are linked to each other in a sequence as shown in below exhibit. It may not be possible to draw a clear line of difference between each phase, and the change over from one phase to another is gradual.

Phases of Strategic Management process



Key terms in strategic management

- **Strategists:** Strategists are individuals who are most responsible for the success or failure of an organization. Strategists hold various job titles, such as chief executive officers, president, and owner, chair of the board, executive director, chancellor, dean, or entrepreneur.
- **Vision:** Vision statements answer the question: “What do we want to become?”
- **Mission:** Mission statements are “enduring statements of purpose that distinguish one business from other similar firms. A mission statement identifies the scope of a firm’s operations in product and market terms.” It addresses the basic question that faces all strategists: “What is our business?” It should include the values and priorities of an organization.
- **External opportunities and external threats** refers to the economic, social-cultural, demographic, environmental, political, legal, governmental, technological, and competitive trends and events that could significantly benefit or harm an organization in the future. Opportunities and threats are largely beyond the control of a single organization, thus the term *external*.
- **Internal Strengths and Weaknesses:** Internal strengths and internal weaknesses are an organization’s controllable activities that are performed especially well or poorly. Identifying and evaluating organizational strengths and weaknesses in the functional areas of a business is an essential strategic-management activity.

- **Long-Term Objectives:** Objectives can be defined as specific results that an organization seeks to achieve in pursuing its basic mission.
- **Strategies:** Strategies are the means by which long-term objectives will be achieved. Business strategies may include geographic expansion, diversification, acquisition, product development, market penetration, retrenchment, divestiture, liquidation, and joint venture.
- **Annual Objectives:** Annual objectives are short-term milestone that organizations must achieve to reach long-term objectives. Like long-term objectives, annual objectives should be measurable, quantitative, challenging, realistic, consistent, and prioritized.
- **Policies:** Policies are general guidelines, established to support efforts to achieve stated objectives.

1.3 Benefits of strategic management

Strategic management contain both financial and non-final benefit

Financial Benefits

- ✓ Research indicates that organizations using strategic-management concepts are more profitable and successful than those that do not.
- ✓ High-performing firms tend to do systematic planning to prepare for future fluctuations in the external and internal environments.
- ✓ Firms with planning systems more closely resembling strategic-management theory generally exhibit superior long-term financial performance relative to their industry.

Nonfinancial Benefits

- ❖ An enhanced awareness of external threats.
 - ❖ An improved understanding of competitors' strengths,
 - ❖ An increased employee productivity,
 - ❖ Reduced resistance to change, and a clearer understanding of performance-reward relationships.
- **In addition to the above benefits, strategic management also provides the benefits described below.**
- ✓ **Framework for Operational Planning:** Strategies provide the framework for plans by channeling operating decisions and often pre-deciding them. If strategies are developed carefully and understood properly by managers, they provide more consistent framework for operational

planning. If this consistency exists and applied, there would be deployment of organizational resources in those areas where they find better use.

- ✓ **Clarity in Direction of Activities:** Strategies focus on direction of activities by specifying what activities are to be undertaken for achieving organizational objectives. They make the organizational objectives more clear and specific. For example, a business organization may define its objective as profit earning or a non-business organization may define its objective as social objective. But these definitions are too broad and even vague for putting them into operation.
- ✓ **Increase Organizational Effectiveness and efficiency:** Strategies ensure organizational effectiveness in several ways. The concept of effectiveness is that the organization is able to achieve its objectives within the given resources. Thus, for effectiveness, it is not only necessary that resources are put to the best of their efficiency but also that they are put in a way which ensures their maximum contribution to organizational objectives. In fact, taking strategic management, which states the objective of the organization in the context of given resources, can do this. Therefore, each resource of the organization has a specific use at a particular time. Thus, strategies ensure that resources are put in action in a way in which these have been specified. If this is done, organization will achieve effectiveness.
- ✓ **Personnel Satisfaction:** Strategies contribute towards organization's effectiveness by providing satisfaction to the personnel of the organization. In organization where formal strategic management process is followed, people are more satisfied by definite prescription of their roles thereby reducing role conflict and role ambiguity. If the decisions are systematized in the organization, everyone knows how to proceed, how to contribute towards organizational objectives, where the information may be available, who can make decisions, and so on. Such clarity will bring effectiveness at the individual level and consequently at organizational level.
- ✓ According to **Ross and Kami** "Without a strategy the organization is like a ship without a rudder, going around in circles. It is like a homeless person; it has no place to go."
- ✓ They ascribe most business failures to lack of strategy, or the wrong strategy, or lack of implementation of a reasonably good strategy. They conclude from their study that without appropriate strategy effectively implemented, failure is a matter of time.

1.4 Types / levels of strategies

A strategy of a corporation is a comprehensive plan stating how the corporation will achieve its mission and objectives. It maximizes competitive advantage and minimizes competitive disadvantage. The typical business firm usually considers three types of strategy: corporate, business, and functional.

- 1) **Corporate strategy:** Describes a company's overall direction in terms of its general attitude toward growth and the management of its various businesses and product lines. Corporate strategy is composed of directional strategy, portfolio analysis, and parenting strategy. This implies that their responsibility is to achieve the planned financial performance of the company in addition to meeting the non-financial goals, viz., social responsibility and the organizational image. Corporate directional strategy is conceptualized in terms of stability, growth, and retrenchment.
- 2) **Business Strategy:** This consists of primarily the business managers or managers of strategic business units (SBU's). SBU is any part of a business organization which is treated separately for strategic management purpose. Generally, SBUs are involved in a single line of business. Here strategies are about how to offset the competitors in a particular product market and strategies have to be related to a unit within an organization. The managers at this level translate the general statements of direction and intent churn out at corporate level. They identify the most profitable market segment, where they can excel keeping in focus the vision of the company.
- 3) **Operational level or functional level strategy:** is the approach taken by a functional area, such as marketing or research and development, to achieve corporate and business unit objectives and strategies by maximizing resource productivity. It is concerned with developing and nurturing a distinctive competence to provide a company or business unit with a competitive advantage

1.5 Social responsibilities and Ethics in Strategic decision making

- ***Should strategic decision makers be responsible only to shareholders or should they have broader responsibilities?***
 - The concept of social responsibility proposes that private corporation has responsibilities to society that extend beyond making a profit. Strategic decisions often affect more than just the corporation. A decision to retrench by closing some plants and discontinuing product lines, for example, affects not only the firm's workforce but also communities where the plants are located and those customers who have no other source of the discontinued product. This brings into consideration the question of the appropriateness of certain missions, objectives, and

strategies of business corporations. Some businesspeople believe profit maximization is the primary goal of their firm, whereas concerned interest groups argue that other goals should have a priority, such as the hiring of minorities and women or community development. Strategic managers must be able to deal with these conflicting interests to formulate a viable strategic plan in an ethical manner.

➤ ***What are the Responsibilities of a Business Firm?***

- Milton Friedman and Archie Carroll offer two contrasting views of the responsibilities of business firms to society.

1) Friedman's traditional view of business responsibility

✚ Milton Friedman, in urging a return to a laissez-faire worldwide economy, that is, one with a minimum of government regulation, argues against the concept of social responsibility. If a business person acts “responsibly” by cutting the price of the firm’s product to prevent inflation, or by making expenditures to reduce pollution, or by hiring the hard-core unemployed, that person, according to Friedman, is spending the stockholders’ money for a general social interest. Even if the business person has shareholder permission or encouragement to do so, he or she is still acting from motives other than economic and may, in the long run, because harm to the every society the firm is trying to help. By taking on the burden of these social costs, the business becomes less efficient either price goes up to pay for the increased costs or investment in new activities research is postponed. These results negatively, perhaps fatally, affect the long-term efficiency of a business.

✚ Friedman thus referred to the social responsibility of business as a “fundamentally subversive doctrine” and stated that “there is one and only one social responsibility of business to use its resources and engage in activities designed to increase its profits so long as it stays within the rules of the game, which is to say, engages in open and free competition without deception or fraud.”

2) Carroll's four responsibilities of business: Archie Carroll proposes that the managers of business organizations have four responsibilities: **economic, legal, ethical, and discretionary.**

- ❖ **Economic responsibilities** are to produce goods and services of value to society so that the firm may repay its creditors and shareholders.
- ❖ **Legal responsibilities** are defined by governments in laws that management is expected to obey.
- ❖ **Ethical responsibilities** are to follow the generally held beliefs about how one should act in a society. For example, society generally expects firms to work with the employees and the

community in planning for layoffs, even though there may be no law requiring this. The affected people can get very upset if an organization's management fails to act according to generally prevailing ethical values.

- ❖ **Discretionary responsibilities** are the purely voluntary obligations a corporation assumes, for example, philanthropic contributions, the hard-core unemployed, and providing day-care centers.

Note: The difference between ethical and discretionary responsibilities is that few people expect an organization to fulfill discretionary responsibilities, whereas many expect an organization to fulfill ethical ones. Carroll lists these four responsibilities in order of priority.

1. A business firm must first make a profit to satisfy its economic responsibilities.
2. To continue in existence, it must follow the laws, thus fulfilling its legal responsibilities. To this point Carroll and Friedman are in agreement. Carroll, however, goes further by arguing that business managers have responsibilities beyond economic and legal. Once the two basic responsibilities are satisfied, according to Carroll, the firm should look to fulfilling its social responsibilities. Social responsibility, therefore, includes both ethical and discretionary, but not economic and legal responsibilities.
3. A firm can fulfill its ethical responsibilities by doing those things that society tends to value but has not yet put into law. Once ethical responsibilities are satisfied,
4. A firm can focus on discretionary responsibilities—purely voluntary actions that society has not yet decided are necessary.